Category

Investors and Other Stakeholders

CORPORATE ESG CONSIDERATIONS

Learning Outcome

- describe environmental, social, and governance factors of corporate issuers considered by investors

Debt and equity investors are increasingly taking a *stakeholder* rather than a purely *shareholder* perspective by prioritizing environmental, social, and governance (ESG) factors in making investment decisions. Corporate issuers include these factors when setting strategic objectives as well as in their operating, investing, and financing decisions.

Exhibit 7 summarizes key ESG factors of importance to investors.

Exhibit 7:

Environmental, Social, and Governance (ESG) Factors

Environmental	Social	Governance
Conservation of the natural world	**Consideration of people and relationships**	**Standards for running a company**
▪ Climate change ▪ Air and water pollution ▪ Biodiversity ▪ Deforestation ▪ Energy efficiency ▪ Waste management ▪ Water scarcity	▪ Customer satisfaction ▪ Data protection and privacy ▪ Gender and diversity ▪ Employee engagement ▪ Community relations ▪ Human rights ▪ Labor standards	▪ Board composition ▪ Audit committee structure ▪ Bribery and corruption ▪ Executive compensation ▪ Lobbying ▪ Political contributions ▪ Whistleblower schemes

Source: CFA Institute

Governance factors such as shareholder voting rights, board composition, and compensation practices are widely available and quantifiable, making it relatively straightforward for a financial analyst to evaluate the soundness of a firm's governance. Consequences of poor corporate governance have long been understood by analysts and shareholders. In contrast, incorporating *environmental* and *social* factors into investment decision-making has evolved more slowly. While many environmental and social issues exist, identifying which of these factors are most likely to affect company performance, and how and when they will do so, is often less clear.

ESG considerations are of increasing importance for three reasons:

1. The material financial impact of ESG factors on corporate issuers has risen. Both shareholders and debtholders have suffered substantial losses due to environmental disasters, social controversies, and governance deficiencies.
2. Interest in the environmental and social impacts of investments has grown, particularly among younger clients, who increasingly demand that newly acquired or inherited

revised regulations are forcing corporate issuers to adapt their business practices to meet more stringent ESG criteria.

Environmental and social issues, such as climate change, air pollution, and societal impacts of company products and services, have historically been treated as **negative externalities**, or costs not borne by the company and its investors. But increased stakeholder awareness and stronger regulations are forcing companies to internalize environmental and societal costs in their income statements, either explicitly or implicitly, for responsible investors.

While ESG factors were once regarded as intangible or qualitative information, improved identification and analysis, as well as enhanced corporate disclosures, have resulted in increasingly quantifiable information.

Knowledge Check

1. ESG considerations are increasingly relevant for which of the following reasons (select up to three options)?

A. Many in the new generation of investors are demanding that investment strategies incorporate ESG factors.
B. ESG issues are having more material impacts on companies' valuations.
C. Environmental and social issues are being treated as negative externalities.

Hide Solution

Solution: A and B are correct.

A is correct. A growing number among the new generation of investors increasingly demand that their inherited wealth or pension contributions be managed using investment strategies that systematically consider material ESG risks, as well as negative environmental and societal impacts, of their portfolio investments.

B is correct. ESG issues are having more material impacts on companies' valuations. Many investors have suffered substantial losses due to corporate mismanagement of ESG issues, resulting in environmental disasters, social controversies, and governance deficiencies.

C is incorrect. Environmental and social issues are less frequently treated as negative externalities than in the past. Increased stakeholder awareness and stronger regulations are forcing companies to internalize environmental and societal costs in their income statements, either explicitly or implicitly, for responsible investors.

Environmental Factors

The materiality of environmental factors can vary significantly across industries. An ESG factor is **material** when that factor is believed to have a significant impact on a company's results or business model. For firms in natural-resource-intensive industries, environmental factors often have a *direct* material effect on operations, while in other cases the impact may be material but *indirect* in nature. Environmental factors generally considered material by investors include climate change, pollution and waste, resource and land use, ecological footprint, and biodiversity.

Climate change considerations are often framed as either **physical risks** or **transition risks**. Physical risks include damage to or destruction of assets by severe weather, which is expected to significantly increase in frequency as the climate changes. Physical risks can often be insured against or diversified. Transition risks are losses related to the

instance of transition risk for energy companies and their investors is **stranded assets**, or emission-intensive reserve assets at risk of becoming unviable, thereby reducing their value (e.g., even if an oil well were to produce oil from 2029 to 2059, production might have to cease early due to regulations or uneconomical prices). Analysts may find it difficult to assess this risk for energy companies, given uncertainties of regulations and break-even prices.

Adverse material environmental effects can arise from decisions based on inadequate governance or errors in judgment. For example, oil spills, industrial waste contamination, and local resource depletion can result from poor environmental standards, breaches of safety standards, or unsustainable business models. Such events can be costly in terms of regulatory fines, litigation, clean-up expenses, and reputational risk.

Emissions and Waste as an Environmental Risk

Environmental issues such as emissions and waste have historically been treated as externalities and have thus not been fully addressed in companies' financial reporting. However, with growing awareness among stakeholders, including regulators, companies may face financial liabilities for pollution, contamination, and the emission of toxic or carcinogenic substances and therefore must manage these risks. Gross mismanagement of these risks may result in a company not only incurring severe financial penalties but also losing permanently its license to operate.

In 2019, the collapse of Dam I of the Córrego do Feijão Mine in Brumadinho, Brazil, resulted in the spillage of millions of tons of mud; 270 lives were lost, and the nearby Paraopeba River was contaminated. The mine was owned and operated by Vale, a multi-national Brazilian mining corporation. Vale has since been accused of hiding information about the dam's instability for years to avoid damaging its reputation. Several company employees, including its ex-CEO, and its auditor, TÜV SÜD, were charged with murder and environmental crimes. Vale was fined millions of dollars by the Brazilian government and reached an agreement in 2021 to repair all environmental damage and pay USD7 billion to the families of victims killed in the disaster.

Social Factors

Social factors typically pertain to a firm's practices concerning, and their impacts on, its employees and human capital, customers, and communities in which it operates. Compensation, turnover, worker health, training and safety, employee morale, employee diversity, customer data privacy, and community relations can all affect a company's ability to sustain its performance over the long run. Minimizing social risk can lower a company's costs through higher employee productivity, lower employee turnover, reduced litigation potential, and reduced reputational risk.

Data Privacy and Security as a Social Risk

Data privacy and security addresses how companies gather, use, and secure personally identifiable information and other meta-data collected from individuals. In some industries, such as internet software and services, this issue includes managing the risks associated with government requests that may result in violations of consumers' civil and political rights.

As more services are offered online, consumers often unknowingly leave a large digital footprint using such services. Some information may be personally identifiable in nature, leaving users vulnerable to theft or misuse of data. As reported in the *2019 Cost of a Data Breach Report* released by IBM and Ponemon Institute, the average cost of a data breach is USD3.9 million.

consumer credit reporting agency, led to a data breach and the theft of identity and financial data of over 140 million US citizens in 2017. Equifax has incurred hundreds of millions of dollars in expenses arising from the breach and has faced numerous lawsuits and investigations.

In a separate case, Facebook, a leading US-based social media platform, shared the personal data of over 80 million users with a third-party consultancy without users' consent. The consultancy gathered psychological profiles of users and accessed their contacts to influence voters in US elections, leading to one of the largest US government fines (USD5 billion) imposed in the technology sector to date—and to a significant decline in user trust. Facebook's subsequent renaming as Meta Platforms in late 2021 was considered by some analysts a means of distancing itself from the corporation's privacy and other social issues.

Governance Factors

As outlined in an earlier lesson, corporate governance and stakeholder management address issues that include:

- company ownership and voting structure;
- relevance of board skills and experience to current and future company needs;
- alignment of management compensation with company results;
- strength of company shareholder rights versus peers; and
- company effectiveness in managing long-term risks and sustainability.

Analyses of these areas and questions—typically found in issuers' proxy statements, annual reports, and sustainability reports—can provide important insights about the quality of management and sources of risk. Corporate governance will be discussed in greater depth in the next learning module.

Siemens AG Bribery Scandal and Corporate Governance Changes

In 2006, German police raided the headquarters of Siemens AG, the largest industrial manufacturing firm in Europe, as officials uncovered one of the largest corporate corruption cases in history. German and US investigators subsequently discovered that the payment of bribes to foreign government officials by Siemens employees to secure sales and contracts was standard operating procedure for decades, with total bribery payments exceeding EUR1 billion (dating back to 2001). While hundreds of Siemens employees were dismissed and the firm faced over EUR3 billion in fines, the disgorgement of profits, and other costs, the failure of leadership led to substantial upheaval at the board and senior management level as well as the establishment of new governance policies.

Both the supervisory board and the managing board chairmen resigned, and for the first time in its 160-year history, Siemens hired a CEO from outside the company and most senior managers were dismissed. As the prior boards were found to lack sufficient understanding of, or engagement with, the business, both the new supervisory board and the new managing board included members with insight into operational activities and active decision-making. The new managing board was composed of the CEO, CFO, head of HR, and representatives from key operational units as well as the areas of supply chain management and sustainability, legal, and compliance. The firm increased its scrutiny and oversight of many regional businesses, whose prior autonomy had resulted in significant violations. Finally, to rebuild trust with internal and external stakeholders, Siemens instituted a firmwide anti-corruption policy designed to prevent, detect, and respond to compliance breaches.

factors that affect these cash flows is therefore similar for both equity and corporate credit analyses.

The question of *how* and *when* ESG factors affect corporate cash flows rests on differences in their effect on the value of debt and equity claims.

- Once identified, the material effects of ESG factors must first be quantified in financial terms—that is, how are the firm's discounted future cash flows positively or negatively affected by these factors?
- In the case of significant long-term adverse ESG-related events, equity claims are usually immediately and disproportionately affected, as they represent residual claims to future company cash flows. For example, in the Vale dam disaster, the Equifax data breach, and the Siemens bribery scandal cited earlier, all three firms experienced a sharp share price decline in the wake of the event.
- While adverse ESG-related events also affect the value of debtholder claims, these finite, fixed obligations are usually less affected than equities by such events unless the firm's ability to make interest and principal payments is adversely affected. In the Vale, Equifax, and Siemens examples, all three saw their respective issuer-specific cost of debt rise, and each experienced a credit rating downgrade shortly after the adverse event. Vale saw its debt rating briefly reduced to speculative grade following the dam collapse. In more extreme cases, debtholders may force a company into bankruptcy and experience significant losses in liquidation.
- In general, the effects of adverse ESG-related events often differ depending on maturity. For example, an analyst may believe a coal company has long-term risk from potential asset write-downs—that is, stranded assets due to regulatory changes or shifts in demand—which would likely have a greater negative effect on debt maturing in ten years versus short-term debt maturing in twelve months.

Analysts evaluate potential positive and/or negative effects of material ESG-related factors, whose financial impact is reflected in a company's projected financial statements and ratios—with future expected cash flows discounted at an appropriate rate and sensitivity and/or a scenario analysis used to weigh different outcomes for debt and equity holders.

For example, an analyst might increase her forecast of a hotel company's operating costs because of the impact of excessive employee turnover—lost productivity, reduced customer satisfaction, and increased expenses for employee searches, temporary workers, and training programs. As another example, an analyst might choose to lower the discount rate for a food company that is expected to gain a competitive advantage by transitioning to a sustainable source of a key ingredient in its products.

Question Set

1. Historically, analysts have best been able to evaluate a company's:

A. social practices.
B. governance practices.
C. environmental practices.

Hide Solution

Solution:

B is correct. Corporate governance factors are well understood and quantifiable by analysts, including the consequences of poor corporate governance. In contrast, the inclusion of environmental and social factors in investment

_____. However, they are increasingly being recognized as _____. (negative externalities, internalized costs).

Hide Solution

Solution:

Historically, environmental and social issues have been treated as negative externalities. However, they are increasingly being recognized as internalized costs.

It was previously assumed that the negative consequences of poor firm decisions did not fall on the firm's capital suppliers but, rather, on society. Now, analysts consider these increasingly internalized company costs by estimating their effects on firm financial performance, by incorporating them into discount rates and risk assessments, and by screening or adjusting position sizes of companies that have poor ESG practices.

3. Stranded assets best represent _____. (physical risk, transition risk)

Hide Solution

Solution:

Stranded assets best represent transition risk.

Transition risks are losses related to the transition to a lower-carbon economy. An oil well may become a stranded asset due to government regulations or changes in consumer preferences that affect the price of oil or otherwise impair an issuer's ability to fully realize the asset value. Physical risks include damage to property stemming from extreme weather, which is expected to increase in both frequency and severity due to climate change.

4. Explain the importance of materiality of ESG factors for a financial analyst.

Hide Solution

Solution:

An ESG factor is considered material when it has a significant impact on a company's results or business model. An analyst attempts to evaluate potential positive or negative effects of material ESG-related factors—for example, by incorporating them into a company's projected cash flows and/or discount rates or through an investment candidate screening process. While an issuer may have many ESG factors to consider, analysts prioritize those that are material given the opportunity cost of analysts' time.

5. A company's effectiveness in managing long-term risks and sustainability is best classified as a:

A. social factor.
B. governance factor.
C. environmental factor.

Hide Solution

Solution:

B is correct. Corporate governance and stakeholder management address issues that include a company's effectiveness in managing long-term risks and sustainability. Management effectiveness can be assessed through an evaluation of the company's financial and non-financial performance over the

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{OWN} SECURITY OWNERSHIP

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The Bloomberg OWN function allows you to see an overview of the security ownership of the selected corporation.

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